The Hidden Cost of a Canadian Credit Card

A Rewards Optimisation Analysis Across 15 Canadian Credit Cards and 3 Spending Profiles

15 cards   3 spending profiles   8 categories   May 2026

Prepared by	Simran Saran
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Cards analysed	15 Canadian credit cards from major and digital issuers
Spending profiles	3 profiles representing Recent Grad, Young Professional, and Dual Income Household
Spending categories	Groceries, Gas, Dining, Transit, Travel, Online Shopping, Subscriptions, Other
Data sources	Ratehub.ca, Creditcardgenius.ca, and card issuer websites
Tool	Interactive Streamlit app: enter your own spending and get a personalised ranking

Rewards values are estimates based on stated card rates. Actual rewards may vary. This report is for educational purposes and does not constitute financial advice.

Why I Built This

I have had the same credit card since university. I picked it because a friend had it and it seemed fine at the time. I never did any real analysis of whether it was right for how I actually spend money.

When I moved from Waterloo to Mississauga my spending pattern changed completely. Groceries every week for the first time. Transit cards. Rent and setup costs. Online shopping to furnish a new apartment. Subscriptions for streaming, storage, and work tools. I realised I was probably earning the wrong rewards on all of it and had no idea how much value I was leaving on the table.

There are over 200 credit cards available in Canada. Most comparison sites show you a list sorted by welcome bonus or a vague overall score. What they do not show you is the actual net annual value for someone with your specific spending pattern. So I built the model myself.

> **The core question this analysis answers: for a given spending profile, which Canadian credit card produces the highest net annual value after subtracting the annual fee? And how much money is left on the table each year by using the wrong card?**

How the Model Works

The scoring model takes a spending profile across eight categories and calculates the gross annual rewards each card would produce based on its stated rewards rates. It then subtracts the annual fee to produce a net annual value figure for each card.

For cards with category spending caps the model applies the capped rate up to the monthly limit and the base rate for any spending above the cap. This is an important detail that most comparison tools ignore. A card advertising 5% on groceries might cap that rate at $500 per month, which matters significantly for a household spending $900 per month on groceries.

The model does not factor in the value of travel insurance, purchase protection, or lounge access because these benefits are difficult to monetise consistently across spending profiles. They are noted for each card but not included in the numerical ranking.

The eight spending categories

- Groceries: all supermarket and grocery store purchases
- Gas: petrol and vehicle fuel
- Dining: restaurants, cafes, takeout, and food delivery
- Transit: public transportation, rideshare, and parking
- Travel: flights, hotels, car rental, and travel bookings
- Online shopping: all ecommerce purchases
- Subscriptions: streaming, software, gym, and recurring services
- Other: all remaining spend at the base rate

The Three Spending Profiles

Profile	Monthly spend	Description
Recent Grad	$1,070 per month	Just moved from university to a new city. First time managing full independent household expenses. Lower income, transit-heavy, building spending habits.
Young Professional	$1,770 per month	Two to four years into career. Higher income, more dining out, some travel, growing lifestyle spend.
Dual Income Household	$2,830 per month	Established household with two incomes. High grocery and gas spend, regular dining, annual vacations, children activities.

Key Findings

Finding 1   The wrong card costs you hundreds of dollars per year

The gap between the best and worst card for a given spending profile is not trivial. For the Recent Grad profile the gap between the best and worst eligible card is $331 per year. For the Young Professional it is $543 per year. For the Dual Income Household it is $894 per year. These are real dollars leaving the table every year simply because the card in the wallet is not matched to the spending pattern.

Profile	Best card	Net value	Worst card for profile	Gap
Recent Grad	Scotiabank Gold American Express	$348 per year	RBC Avion Visa Infinite	$331 per year
Young Professional	Scotiabank Gold American Express	$685 per year	RBC Avion Visa Infinite	$543 per year
Dual Income Household	Scotiabank Gold American Express	$1,223 per year	RBC Avion Visa Infinite	$894 per year

Finding 2   The Scotiabank Gold Amex wins for all three profiles

The Scotiabank Gold American Express card topped the ranking for all three spending profiles. The reason is its combination of a 6% earn rate on groceries and dining, 3% on gas and transit, and 0% foreign transaction fees. For Canadian spending patterns that are grocery and dining heavy this combination is difficult to beat even with the $120 annual fee.

The zero foreign transaction fee is an underappreciated feature. Canadians who shop online at US retailers or travel internationally pay 2.5% on every foreign currency transaction with most cards. For a Young Professional spending $200 per month on travel and $150 per month on online shopping with some US retailers this alone can add up to $60 to $100 per year in hidden fees that erase a significant portion of rewards earned.

Finding 3   No-fee cards are genuinely competitive

The best no-fee card for each profile produces meaningful rewards value without any annual fee to recover. For the Recent Grad the PC Financial World Elite Mastercard produces $217 per year in net rewards. For the Young Professional the Simplii Financial Cash Back Visa produces $367 per year driven by its 4% dining rate. For the Dual Income Household the PC Financial card produces $602 per year.

The premium paid card is worth its fee only if the extra rewards more than offset the annual cost. For all three profiles the premium card does outperform the best no-fee option but the margin is not always dramatic. A Recent Grad who does not yet meet the income threshold for premium cards will find the PC Financial no-fee card an excellent starting point.

Finding 4 Grocery spend is the most powerful rewards lever

Across all three profiles groceries represent the largest single driver of annual rewards value when using a grocery-optimised card. This is because grocery spend is high in frequency, consistent month over month, and attracts some of the highest category reward rates available on Canadian cards. A card offering 5% or 6% on groceries applied to $500 per month of grocery spend generates $300 to $360 per year from that category alone.

The practical implication is that the single most impactful card decision for most Canadian households is picking a card that maximises the grocery rate. Everything else is secondary for most spending profiles.

The 15 Cards Analysed

Card	Issuer	Annual fee	Top category rate	No FX fee
Scotiabank Gold American Express	Scotiabank	$120	6% groceries and dining	**Yes**
BMO CashBack World Elite	BMO	$120	5% groceries (capped)	No
American Express Cobalt	Amex	$155.88	5% groceries dining subscriptions	No
MBNA Rewards World Elite	MBNA	$120	5% groceries gas dining transit (capped)	No
CIBC Dividend Visa Infinite	CIBC	$120	4% groceries and gas	No
TD Cash Back Visa Infinite	TD	$120	3% groceries and gas	No
Scotiabank Passport Visa Infinite	Scotiabank	$150	3% groceries and travel	**Yes**
National Bank World Elite	National Bank	$150	5% travel with no FX fee	**Yes**
TD First Class Travel Visa Infinite	TD	$139	8% travel bookings	No
RBC Avion Visa Infinite	RBC	$120	1.75% travel	No
PC Financial World Elite	PC Financial	No fee	3% groceries	No
Tangerine Money-Back	Tangerine	No fee	2% in 3 chosen categories	No
Simplii Financial Cash Back	CIBC Simplii	No fee	4% dining	No
Rogers World Elite	Rogers Bank	No fee	1.5% flat rate	**Yes**
Brim World Elite	Brim Financial	$199	2% flat rate	**Yes**

How to Use This Analysis

The most useful thing to do with this analysis is not to read the findings and pick the top card. The most useful thing is to put your own spending numbers into the interactive tool, see which card ranks first for your actual pattern, and check whether that matches the card currently in your wallet.

If it does not match, calculate the annual gap. Then divide the gap by 12 to see the monthly cost of using the wrong card. For most people that number will be surprisingly large relative to the effort of switching.

A few additional considerations the model does not capture. If you do significant foreign currency spending the no-FX-fee cards deserve extra weight beyond what the rewards calculation shows. If you value travel insurance and do not have it through another source the premium cards that include it are worth more than their net rewards value suggests. And if you are not yet earning enough to qualify for premium cards the no-fee options are genuinely strong and there is no need to wait.

Prepared by	Simran Saran
Targeting	Business Analysis Financial Services Data Analysis roles in Canada
Series	The Case Files Day 7
Interactive tool	Available on Streamlit Cloud - link in GitHub README